

Conversation

#16

CONVERSATION

BUDGET PLANNING MEETING – PREPARING FOR THE NEXT QUARTER

Prepare 8 pieces of paper numbered from 1 to 8 and have each student draw one to discover their character.
This activity focuses on **budget language, prioritization, negotiation, and decision-making under constraints.**

It's Monday morning at LogiSmart Brasil S.A., São Paulo.

After a difficult quarter, the leadership team meets to plan the **budget for Q3.**

Revenue grew, but costs increased faster than expected.

Now the company must decide **where to invest, where to cut, and what to postpone.**

There is pressure from all sides: operations want resources, sales want growth, and finance wants control.

The decisions made in this meeting will affect performance for the rest of the year.

Budget Data (Projected on Screen)

Category	Q2 Spending	Q3 Requested	Finance Limit
Logistics operations	R\$ 2.4M	R\$ 2.8M	R\$ 2.5M
Technology & systems	R\$ 900k	R\$ 1.4M	R\$ 1.0M
Marketing & campaigns	R\$ 1.2M	R\$ 1.6M	R\$ 1.3M
HR & training	R\$ 600k	R\$ 850k	R\$ 700k
Contingency reserve	R\$ 300k	R\$ 150k	R\$ 300k

Student Coaching – How to Use the Data

- Defend **one budget increase** using the numbers
- Challenge **one budget request** from another area
- Suggest **cuts, trade-offs, or postponements**
- Remember: total spending **cannot exceed the finance limit**

Characters

1. Lucas – Operations Director

“I know operations costs are high, but we’re already running close to the limit.

If we cut too much, performance will drop again.

I need more budget to stabilize logistics and avoid emergency costs later.

Cutting now may look good on paper, but it creates risk.

I’m here to protect operational stability.”

2. Mariana – Planning & Strategy Manager

“I see the full picture, not just one department. Some investments make sense now; others can wait.

We can’t approve everything. If we don’t prioritize correctly, we’ll repeat last quarter’s mistakes. I want this budget to be realistic, not optimistic.”

3. Diego – IT & Systems Manager

“Our systems are outdated, and that’s costing us efficiency.

Manual work creates delays and errors.

The technology request is high, yes — but it’s an investment.

Without better systems, other departments will keep asking for more money.

I need approval now, not next year.”

4. Sofia – HR Manager

“People are tired. Turnover is increasing, and training was cut too much last quarter.

If we ignore development, performance will suffer again. Training is not a cost — it’s prevention.

I’m not asking for luxury, just support.

If we cut HR again, morale will drop.”

5. Carla – Finance Director

“My job is to protect the company’s financial health.

The requests exceed the limit by far. We can’t approve everything, no matter how good the arguments sound. Someone will need to give up something.

I’m here to say ‘no’ when necessary.”

6. Rafael – Risk & Compliance Officer

“I look at what happens when things go wrong.

Reducing contingency funds is dangerous. Unexpected problems always happen.

If we remove the safety net, one crisis can destroy the plan.

I’m here to defend the reserve, even if it’s unpopular.”

7. João – Sales Director

“Growth needs support.

Marketing and operations are critical if sales is going to deliver results.

If we slow down investment now, competitors will move faster. This is not the moment to play too safe.

I want a budget that supports revenue.”

8. Ana – Executive Assistant

“I track decisions and commitments.

If priorities aren’t clear, this meeting fails.

My role is to capture what was approved, what was cut, and why.

At the end, everyone must leave aligned.”

[illegible]